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Provision of November 27, 2024
Register of provisions
n. 735 of November 27, 2024

THE GUARANTOR FOR THE PROTECTION OF PERSONAL DATA

IN THE meeting today, attended by
Prof. Pasquale Stanzione, president, Dr.
Agostino Ghiglia and Attorney Guido Scorza, members, and
Counsel Fabio Mattei, secretary general;

HAVING REGARD to Regulation (EU) 2016/679 of the European Parliament
and of the Council, of April 27, 2016, concerning
the protection of natural persons with regard to
the processing of personal data, as well as the free
movement of such data and repealing Directive
95/46/EC (General Data Protection Regulation, hereinafter "Regulation");

HAVING REGARD to the Code regarding the protection of personal data
(decree law June 30, 2003, n. 196), as
amended by decree law August 10, 2018, n. 101, containing
provisions for the adaptation of the national
legal system to the aforementioned Regulation (hereinafter
"Code");

HAVING REGARD to the documentation on file;

HAVING REGARD to the observations made by the secretary
general pursuant to Article 15 of the Guarantor's
Regulation n. 1/2000, adopted by resolution of June 28, 2000;

REPORTING Attorney Guido Scorza;

1. THE INSTRUCTIONAL ACTIVITY CARRIED OUT

1.1. Premise

With communication prot. n. 61109 of May 20, 2024
(notified on the same date via certified electronic mail), which must be understood as fully referenced
here, the Office initiated, pursuant to Article
166, paragraph 5, of the Code, a proceeding for
the adoption of measures referred to in Article 58, paragraph
2, of the Regulation against Sintesi Evolution
s.r.l., represented by the legal representative pro
tempore, with registered office in Milan, via Boccaccio n. 34,
tax code 11605580965.

The proceeding originated from an investigation
initiated by the Authority, following the transmission
of a report in which Ms. XX
stated that, starting from the beginning of 2023, she
had noticed suspicious charges on
her bank account by the telephone company Vodafone Italia S.p.A. After initial
refunds from customer service, the situation
worsened with the arrival of a call from a
technician for the installation of equipment in her
name at an unknown address.
Consulting her tax drawer, Ms. XX then discovered
the issuance of several invoices

related to the activation of telephone lines, data SIMs, routers, and other equipment never requested.

On November 24, 2023, Ms. XX sent a request to Vodafone for access to her personal data, receiving in response confirmation of the existence of four contracts in her name, but with a forged signature, civic addresses, phone numbers, and email addresses unknown to her. All contracts were activated at the Casale Monferrato store of the agency Sintesi Evolution s.r.l. On December 19, 2023, Ms. XX therefore filed a complaint with the Casale Monferrato Police Station, reporting the fraudulent use of her personal data for the activation of contracts without her knowledge. In the meantime, Ms. XX requested Vodafone: the immediate cancellation of all contracts in her name that were activated without her knowledge and with falsified data; the immediate cessation of all numbers listed in the aforementioned contracts; clarification on how it was possible for third parties to have accessed her personal data and used it fraudulently to activate contracts in her name; further investigations into the actions of the agency Sintesi Evolution s.r.l. and the individuals who had physically signed the contracts by forging her signature and her data.

1.2. The request for information made by the Authority

The Office, having examined the circumstances reported in the notification and the documentation attached, requested Vodafone Italia S.p.A., by note dated March 14, 2024, to provide its observations regarding what was stated by the reporting party and to clarify whether it intended to comply with her requests.

In a note dated April 2, 2024, Vodafone responded stating that, during 2023, five contracts for the provision of fixed Voice and Data network services with backup SIMs were stipulated in the name of the reporting party. None of these contracts had completed the activation of the fixed network service, but the backup data SIMs had been activated at the time of sale, as a practice to allow browsing while waiting for the activation of the internet line. All contracts were reported to originate from the same Vodafone Store of the partner Sintesi Evolution S.r.l. Only two of the five backup data SIMs had recorded traffic: one with eight browsing events, the other with eighteen browsing events and two SMS. The note provided the details of each contract, including assigned phone number, tariff plan, date of activation and deactivation of the backup SIM, and traffic made.

Regarding the initiatives undertaken by Vodafone following

the receipt of the Authority's request, the telephone company stated that it had promptly deactivated the active backup data SIMs and refunded the amounts charged to the reporting party, had fulfilled the requests for access to data submitted by her, had communicated to the customer the acceptance of her request for disavowal, and had initiated a migration of customer data to a new platform.

****Informatica****, to allow them to receive immediate notifications via email and mobile during the activation of new SIM cards or fixed networks.

With reference to the measures taken against the dealer, Vodafone stated that it had initiated an internal investigation to assess the responsibilities of the point of sale, following which it had sent two formal notices to Sintesi Evolution, the second of which included a penalty of 3,000 euros. Vodafone also stated that the dealer had terminated the employment relationship with one of the two salespeople present at the time of the events and was conducting further investigations into the actions of all the staff at the point of sale.

The Office therefore proceeded, with a note dated April 16, 2024, to request Sintesi Evolution to provide information and documents related to the activation of the five fixed network Voice and Data service supplies, on behalf of Vodafone Italia S.p.A., registered to Ms. XX.

The Company, in its response sent with a note dated May 2, 2024, confirmed that the activation of the contracts had taken place at the point of sale in Casale Monferrato, managed by an employee of Sintesi Evolution, highlighting that this employee had not followed the correct procedures for the aforementioned activations.

The Company, as requested by the Authority, produced a copy of the "Franchising Light" contract between Vodafone Italia S.p.A. and Sintesi Evolution s.r.l., from which it is noted that Article 6.17 establishes the obligation of the retailer to correctly identify customers. This obligation extends to the transmission to Vodafone and the retention of the relevant documentation pursuant to Article 12.4. Article 6.18 reiterates the dealer's responsibility for the correct fulfillment of legal and regulatory obligations governing the exercise of its activity, including customer identification, collection and retention of documents, and processing of customers' personal data. Finally, Article 12.4 of the aforementioned contract describes in detail the procedures that the retailer must follow for the activation of the service. Among these are the identification of the customer before the delivery of the SIM card, the acquisition of personal data from a valid identity document, the collection and sending to Vodafone of all documentation, the archiving and retention of a copy of the same documentation, and the communication to the Customer of the methods for finalizing the contract.

The aforementioned contract also provides that the retailer must participate in training courses organized by Vodafone, including those on data protection regulations: in this regard, the Company represented that the employee involved in the unlawful activation of the SIMs registered to the complainant had completed the "GDPR DEALERS" course in 2019, as certified by Vodafone in an email dated March 29, 2024.

****1.3. Contestation of Violations****

The Office, following the investigation, adopted the aforementioned act of contestation no. 61109 dated May 20, 2024, in which, first of all, it observed that Vodafone Italia S.p.A. appears exempt from liability, as it has blocked the contested supplies as soon as it became aware of the anomalies and guaranteed Ms. XX the exercise of her rights under Regulation (EU) 2016/679. Vodafone also offered Ms. XX compensation. More generally, the telecommunications company clarified, also in contractual terms, the binding terms of the customer identification procedures at the time of activation of a service, as provided for by Articles 6.17 ("The Retailer is required to ensure the correct identification of Customers, the transmission to Vodafone and the retention of the relevant documentation pursuant to the subsequent Article 12.4, ensuring full availability for the necessary support activities in case of

errors or omissions as requested above") and 12.4 of the franchise contract entered into with Sintesi Evolution. Finally, Vodafone took measures against the dealer consisting of sending two formal notices, the first on January 15, 2024, and the second on February 14, 2024. The second notice included a penalty of 3,000 euros. Vodafone also reversed the remuneration to the point of sale for the improper activations.

Regarding Sintesi Evolution, the Office noted that the Company, as a sales agent for Vodafone, activated five contracts for fixed telephony and data services in the name of Ms. XX without following the procedures provided for in the contract with Vodafone for customer identification. Although the franchise contract between Vodafone and Sintesi Evolution provides that the retailer must ensure the correct identification of customers, Sintesi Evolution could not deny that four of the five contested contracts bore "presumably forged" signatures and that for the remaining contract, the purchase proposal, identity document, and signature had not been archived.

Although Sintesi Evolution attributed the unlawful conduct to the independent initiative of one of its employees, the Office observed that sufficient elements had not been provided to exclude the Company's liability, which should have implemented a system of random checks to verify the correctness and completeness of the documentation acquired for the activation of the supplies, including identity documents, purchase proposals, and signatures, conduct thorough investigations to ascertain the causes of any disavowals, and monitor both electronic and paper archives to intercept any anomalies, such as the presence of copies of identity documents stored without authorization. It has also been highlighted that Sintesi Evolution had contractually committed to Vodafone to equip itself with suitable and adequately trained personnel, while it appears that the employee responsible for the unlawful activations had only attended a privacy course held in 2019. The Office therefore deemed that Sintesi Evolution processed the data of Ms. XX in violation of the principle of lawfulness and in the absence of an appropriate legal basis pursuant to the Regulation. Furthermore, the conduct of the Company resulted in a violation of the provisions of Article 13 of the Regulation, concerning the obligation to provide information. Based on the above observations, the Office contested the following alleged violations to Sintesi Evolution:

- a) Articles 5, paragraph 1, letter a), and 6 of the Regulation, for having processed the personal data of the data subject in violation of the principle of lawfulness and in the absence of an appropriate legal basis;
- b) Article 13 of the Regulation, for having failed to provide the data subject with the necessary information as required therein.

2. EXERCISE OF THE RIGHT OF DEFENSE BY THE DATA CONTROLLER

The party, exercising its right to be heard within the terms established by law, submitted defensive writings attributing the responsibility for the violations exclusively to the employee of the Casale Monferrato sales point who proceeded with the undue activations. The Company reiterated that the employee acted independently and with intent, likely to profit from the company bonuses awarded for achieving certain sales targets, circumventing internal controls, despite the training received during the "GDPR Dealers Course" by Vodafone. Sintesi Evolution emphasized that the employee's conduct was an isolated event, not representative of the corporate culture, and that the employee in question was subject to a disciplinary procedure that led to his dismissal. Sintesi Evolution also represented that the control systems that could have been activated at the corporate level were, in fact, the same as those available to Vodafone because they were implemented at the IT level, and if such systems did not allow for the interception of the unlawful conduct of its employee, this was essentially due to the employee's own will to evade them. Finally, Sintesi Evolution highlighted the absence of previous violations regarding the protection of personal data and its commitment to improving the internal control system, including through awareness-raising activities for all staff. The Company emphasized its good faith and willingness to comply with privacy regulations and drew attention to its difficult financial situation and the risk of compromising financial stability in the event of high monetary sanctions.

3. ASSESSMENTS OF THE AUTHORITY

The arguments put forward by Sintesi Evolution are not sufficient to exclude its responsibility regarding the contested violations. The documents fully confirm the fact that Sintesi Evolution, operating as a dealer for Vodafone, activated five contracts for fixed-line and data services in the name of the complainant, without the complainant having requested them and/or having gone to the corporate sales point in Casale Monferrato, and thus without following Vodafone's procedures for identifying the customer. The complainant became aware of the activations only after charges appeared on her bank account and by consulting the "fiscal drawer" made available to taxpayers by the Revenue Agency.

This circumstance was also reported by the complainant in her complaint to the Judicial Police and, in addition to being confirmed by Vodafone, is also peacefully acknowledged by Sintesi Evolution. Regarding the identification of the Company's role, it is necessary to first recall the general provision regarding unsolicited telephone services, adopted by the Authority on February 16, 2006, and published in the Official Gazette No. 54 of March 6, 2006 (at www.gdpd.it, doc. web No. 1242592), in the part where it highlights that "agents and resellers are considered autonomous data controllers of the data used for the activation of services when, based on the modalities of their activity, they exercise a real and completely autonomous decision-making power over the methods and purposes of the processing carried out within their scope," and then, among others, the provision adopted against a Vodafone dealer operating in the province of Brescia (prov. No. 293 of May 13, 2015, at www.gdpd.it, doc. web No. 4210697), where it is stated that "with regard to operations aimed at activating telephone cards in the absence of the account holder and without acquiring a valid document from them, the company has carried out personal data processing exercising a completely autonomous decision-making power unbound from the provisions that linked it to the telephone operator and the Master dealer, assuming the legal status of data controller, as outlined by the aforementioned provision of the Guarantor of February 16, 2006." This last provision was subjected to review by the First Civil Section of the Court of Cassation which, with Order No. 21234 of July 23, 2021, reiterated that "only the subject who has been appointed to the processing by the 'data controller' and who has adhered to the instructions given to him in the exercise of his power can assert the status of 'data processor'."

****DECISION****

It follows that if this does not occur, the "responsible party" may be recognized as the "data controller" in practice, due to the decision-making and managerial autonomy demonstrated, even disregarding the provisions of the "data controller."

Based on these considerations, Sintesi Evolution, by activating the aforementioned services without having followed the customer identification procedures established by Vodafone in the franchise agreement entered into by Vodafone with the Company, has, in this case, assumed the legal status of an independent data controller, as has been indicated multiple times in numerous decisions of the Authority (for all, decision no. 405 of September 14, 2023, at www.gdpd.it, web doc no. 9936215; decision no. 159 of February 22, 2024, web doc no. 10007895).

Having established, in this case, the data processing responsibility of Sintesi Evolution, the conduct of the Company as emerged from the investigation results in a violation of the provisions of the Regulation regarding information, as the Company proceeded to process the personal data of the complainant without having provided her with the necessary information pursuant to Article 13, as well as a violation of the provisions concerning the suitability of the legal basis for processing, since the use of the identifying data and personal documents of the data subject was carried out without her being aware and having expressed the will to finalize a contract for the activation of fixed telephony and data services. From this last conduct also arises the violation of the principle of lawfulness expressed in Article 5, paragraph 1, letter a), of the Regulation.

What the Company has stated regarding the circumstance that the violation would have been materially committed by an employee who would have autonomously deviated from the provisions set out in the franchise agreement linking Sintesi Evolution with Vodafone is of no relevance. In fact, the

Company, in addition to not having revealed the specific factual circumstances that led to the undue repeated activations, has also not described the measures and precautions ordinarily taken to ensure that its employees correctly carry out customer identification activities under the direct authority of the Company itself, beyond those already prepared by Vodafone at the IT level, which, however, do not exempt Sintesi Evolution from carrying out further control and verification activities, potentially more effective because conducted in the context of activations and the use of sales tools provided by the telecommunications company to customers.

Furthermore, the Company has not clarified whether, alongside the adoption of measures against the employee who carried out the unlawful activations, it has conducted specific and thorough checks, particularly at the sales point in Casale Monferrato, to ascertain whether the conduct of the aforementioned employee is to be considered episodic or symptomatic of a more widespread and consolidated practice aimed at evading corporate and legal provisions for the correct processing of personal data, particularly in the sale of telecommunication services.

Therefore, the responsibility of Sintesi Evolution regarding the violations contested under items a) and b) must be confirmed.

****4. CONCLUSIONS****

For the reasons stated above, the responsibility of Sintesi Evolution regarding the following violations is deemed established:

- a) Articles 5, paragraph 1, letter a), and 6 of the Regulation, for having processed the personal data of the data subject in violation of the principle of lawfulness and in the absence of an appropriate legal basis;
- b) Article 13 of the Regulation, for having failed to provide the data subject with the necessary information provided therein.

Having also established the unlawfulness of the processing examined, it is necessary to:

- impose on Sintesi Evolution, pursuant to Article 58, paragraph 2, letter f) of the Regulation, the prohibition of any further processing of the complainant's data;
- adopt an injunction order, pursuant to Articles 166, paragraph 7, of the Code and 18 of Law No. 689/1981, for the application against Sintesi Evolution of the administrative pecuniary sanction provided for by Article 83, paragraphs 3 and 5, of the Regulation.

****1. INJUNCTION ORDER FOR THE APPLICATION OF THE ADMINISTRATIVE PECUNIARY SANCTION****

The violations indicated above necessitate the adoption of an injunction order, pursuant to Articles 166, paragraph 7, of the Code and 18 of Law No. 689/1981, for the application against Sintesi Evolution of the administrative pecuniary sanction provided for by Article 83, paragraphs 3 and 5, of the Regulation (payment of an amount up to €20,000,000.00 or, for companies, up to 4% of the annual global turnover of the previous financial year, if higher).

For the determination of the maximum penalty amount, it is therefore necessary to refer to the turnover of Sintesi Evolution, as derived from the latest available financial statements (2023) in accordance with previous measures adopted by the Authority, and thus this maximum penalty is determined, in this case, at €20,000,000.00.

For the determination of the amount of the sanction, it is necessary to take into account the elements indicated in Article 83, paragraph 2, of the Regulation.

In this case, the following are relevant:

- 1) the severity of the violations (Article 83, paragraph 2, letter a) of the Regulation), taking into account the subject matter and purposes of the processed data, attributable to the overall phenomenon of unlawful activations of telecommunication services, potentially capable of creating further and much more alarming unlawfulness and to...

constitute an obstacle to the activities of prevention and repression of crimes, including those of an associative nature, as well as being a source of significant economic damage to the individuals involved;

2) as a mitigating factor, the number of subjects involved in the violations (art. 83, par. 2, lett. a) of the Regulation) since, at present, the unlawful conduct has been reported only by Ms. XX;

3) as an aggravating factor, the significantly negligent nature of the conduct of the Company (art. 83, par. 2, lett. b) of the Regulation), which did not implement verification procedures for the correctness of the customer identification activities carried out by its employees and did not monitor possible illicit activation phenomena aimed at the alleged acquisition of corporate rewards;

4) as an aggravating factor, the categories of data processed (art. 83, par. 2, lett. g) of the Regulation), since it emerged that such data also pertained to the payment methods used by the reporting party;

5) as a mitigating factor, the circumstance that the Company has not previously been the recipient of a corrective and sanctioning measure from the Authority (art. 83, par. 2, lett. e) of the Regulation).

Based on the overall elements indicated above, and the principles of effectiveness, proportionality, and deterrence provided for by art. 83, par. 1, of the Regulation, and taking into account the necessary balance between the rights of the data subjects and the freedom of enterprise, also in order to limit the economic impact of the sanction on the organizational and functional needs of the Company, it is deemed appropriate to apply to Sintesi Evolution the administrative sanction of a payment of twenty thousand euros (€20,000.00), equal to 0.1% of the maximum statutory penalty.

In this case, it is also deemed appropriate to apply the additional sanction of publication on the Authority's website of this injunction order, as provided for by art. 166, par. 7 of the Code and art. 16 of the Regulation of the Authority no. 1/2019, taking into account the particular severity of the violations and the disvalue of the conduct both with regard to the evasion of public safety regulations related to the identification of telephone users, and concerning the number of potentially involved subjects and the economic damage that they may have suffered.

Finally, the conditions set out in art. 17 of Regulation no. 1/2019 concerning internal procedures with external relevance, aimed at carrying out the tasks and exercising the powers entrusted to the Authority, are met.

ALL OF THE ABOVE CONSIDERED, THE AUTHORITY

a) imposes on Sintesi Evolution, pursuant to art. 58, par. 2, lett. f) of the Regulation, the prohibition of any further processing of the reporting party's data;

b) orders Sintesi Evolution, pursuant to art. 157 of the Code, to communicate to the Authority, within thirty days from the notification of this provision, the initiatives undertaken to implement the imposed measure; any failure to comply with the provisions of this point may result in the application of the administrative monetary sanction provided for by art. 83, par. 5, of the Regulation.

ORDERS

Sintesi Evolution s.r.l., represented by the legal representative pro tempore, with registered office in Milan, via Boccaccio n. 34, tax code 11605580965, to pay the sum of twenty thousand euros (€20,000.00) as an administrative monetary sanction for the violations indicated in the reasoning, stating that the offender, pursuant to art. 166, par. 8, of the Code, has the option to resolve the dispute by complying with the imposed prescriptions and paying, within thirty days, an amount equal to half of the imposed sanction.

ORDERS

the aforementioned Company, in the event of failure to resolve the dispute pursuant to art. 166, par. 8, of the Code, to pay the sum of twenty thousand euros (€20,000.00), according to the methods indicated in the annex, within 30 days from the notification of this provision, under penalty of the adoption of the consequent executive acts in accordance with art. 27 of law no. 689/1981.

DISPOSES

a) the publication of this provision, pursuant to arts. 154-bis of the Code and 37 of Regulation no. 1/2019, as well as the application of the additional sanction of publication on the Authority's website of this injunction order, as provided for by arts. 166, par. 7 of the Code and 16 of the Regulation of the Authority no. 1/2019;

b) the annotation of this provision in the internal register of the Authority - as provided for by art. 57, par. 1, lett. u), of the Regulation, as well as by art. 17 of Regulation no. 1/2019 concerning internal procedures with external relevance, aimed at carrying out the tasks and exercising the powers entrusted to the Authority - relating to the violations and the measures adopted in accordance with art. 58, par. 2, of the Regulation itself.

Pursuant to art. 78 of the Regulation, as well as arts. 152 of the Code and 10 of Legislative Decree no. 150/2011, of Legislative Decree of September 1, 2011, no. 150, against this provision an appeal may be made to the ordinary judicial authority, with a petition filed with the ordinary court of the place where the data controller resides, or, alternatively, to the court of the place of residence of the data subject, within thirty days from the date of communication of this provision, or sixty days if the appellant resides abroad.

Rome, November 27, 2024

THE PRESIDENT

Stanzione

THE RAPPORTEUR

Scorza

THE SECRETARY GENERAL

Mattei